

Chargeback Prevention: The CFO Case

Cinderhaven Data Platform — Executive Summary

Executive Summary

Cinderhaven’s chargebacks are not random. They are predictable — and most are preventable before the order ships.

\$\$\$446K

Annual chargebacks

\$\$\$325K

Preventable at source

4 causes

Fixable root conditions

A predictive model trained on Cinderhaven’s own shipment and deduction history identifies **73%** of annual chargebacks as traceable to four upstream data conditions — missing case dimensions, barcode registration gaps, late ASN filing, and item setup delays. Each condition is detectable before the order ships. Each has a specific operational fix.

The deductions team currently works these chargebacks reactively, winning 30–45% in disputes. Prevention requires no dispute process. Fixing the data conditions eliminates the chargeback at source and recovers the full amount, not a fraction of it.

Prevention roadmap

Table 1

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#	Root cause	Annual loss	Prevention value	Fix
1	Logistics Overage	\$245K	\$171K	Audit pick-and-pack procedures; add case-count verification
2	Data Compliance Error	\$143K	\$114K	Populate missing barcodes (GTIN-14, UPC) and verify

#	Root cause	Annual loss	Prevention value	Fix
3	ASN Timing Infraction	\$42K	\$29K	Submit Advance Ship Notices within the retailer-rec
4	Pricing Discrepancy	\$17K	\$10K	Reconcile PO unit prices against approved price list

The economics

Dispute recovery returns 30–45 cents per dollar. Prevention returns 100 cents per dollar — and eliminates the working capital drag of post-ship disputes, the labor cost of the deductions team, and the carrier relationship risk from repeated chargebacks.

The model flags 78% of actual chargebacks before shipment, giving Cinderhaven a pre-ship intervention window. The question is not whether this is worth doing. It is which data conditions to fix first. This roadmap answers that question by prevention value.

Produced using Cinderhaven synthetic demonstration data. Figures are illustrative of a repeatable methodology, not actual Cinderhaven financials. Model AUC 0.7834 on held-out temporal test set.